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Delta Electronic Corp.(2308.TW)

Date: 09.30.2025
Ticker: 2308 TT

Current Price: TWD 856
USD/TWD: 30.495

Recommendation: BUY (25.35% upside)
Target Price: TWD 1073

HIGHLIGHT

We issue a **BUY** recommendation on Delta Electronics, Inc. with a one-year target of NTD1073, based on P/E method, offering 25.35% upside. We expect Delta's earnings will grow by 27.51% in 2026 driven by its AI sector, particularly fueled by the rising investment demand in AI data centers.

INVESTMENT SUMMARY

Data Center Powering Growth

Delta Electronics is well-positioned to capture structural growth in the data center power segment, driven by the accelerating demand for AI servers. The company's Power and Components business group—including PSU, UPS, HVDC, and BBU—is expected to deliver a 2024–2027E revenue CAGR of 12.5%, with segment contribution rising from 24% to 46% of consolidated sales. Key growth drivers over the next two to three years will come from Delta's modular UPS platforms, HVDC solutions, and integrated cooling systems, supported by strong momentum in the Americas and accelerating adoption in Asia-Pacific, which collectively underpin a steeper revenue growth trajectory.

Adoption of 800V HVDC Power Shelves

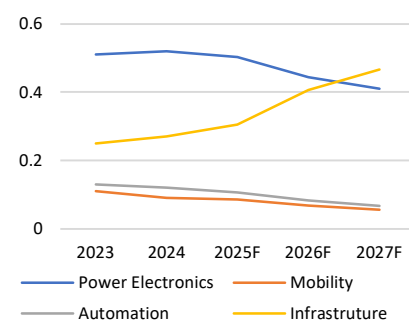
Traditional power modules struggle to manage the efficiency, thermal, and safety requirements of such high-power systems. As a result, industry leaders are pivoting to “power rack + 800V HVDC” solutions, which provide superior efficiency, reliability, and scalability. The 800V HVDC architecture offers three key advantages: (i) freeing up valuable rack space by reducing bulky in-rack power modules, (ii) enhancing power stability across dense compute clusters, and (iii) mitigating the weight and cost burden of excessive copper busbars. We view HVDC adoption as a pivotal inflection point for next-generation AI data center design, positioning Delta Electronics and other critical suppliers at the heart of this transition.

Integrated and Fast Deployment

Delta's competitive edge lies in its end-to-end integration of power, cooling, and monitoring (InfraSuite DCIM), offering pre-validated, modularized data center solutions. Whereas traditional deployments often require months to a year, Delta can achieve time-to-market within weeks, consistently delivering PUE levels below ~1.43 in global deployments. This combination of integration, efficiency, and speed-to-deployment is a critical differentiator in new builds, expansions, and high-growth emerging markets—reinforcing Delta's position as a formidable provider of next-generation data center infrastructure.

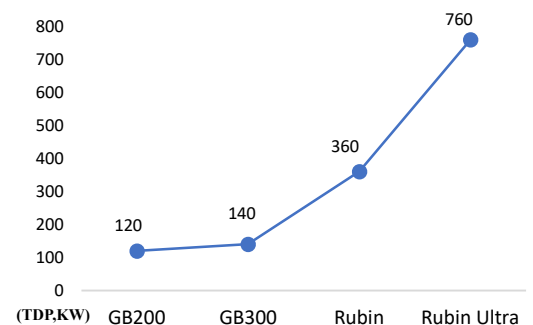
RECOMMENDATION	
Company Name	Delta Electronics, Inc.
Ticker	2308 TT Equity
Exchange	TWSE
Industry	Electronics Manufacturing
Date	09.30.2025
Current Price	TWD 854
Target Price	TWD 1073
Upside	25.35%
52-Week High	917
52-Week Low	275
Market Value	TWD 2,450 bn
Share Outstanding	2,597.54 (mn)
EPS	TWD 30.65

Figure 1 : Revenue Composition



Source: Company Data, Team Estimates

Figure 2 : Nvidia's Product Roadmap



Source: Company Data, Team Estimates

DELTA'S Key Financials

In NTD Millions	2023	2024	2025F	2026F	2027F
Revenue	401,227	421,148	507,919	647,642	788,597
Revenue YoY(%)	3.30%	4.97%	20.60%	27.51%	21.76%
Gross Profit Margin(%)	29.21%	32.43%	35.15%	36.76%	37.00%
Operating margin(%)	10.21%	11.31%	14.85%	15.82%	16.09%
Net Income	33,393	35,227	57,373	79,607	98,568
Net Income YoY(%)	2.23%	5.49%	62.87%	38.75%	23.82%
Earnings Per Share	12.85	13.56	22.09	30.65	37.95
Dividend Per Share	6.43	7.00	11.04	15.32	18.97
Dividend Yield	50.04%	51.62%	50.00%	50.00%	50.00%
PE	23.53	31.27	40.00	35.00	30.00

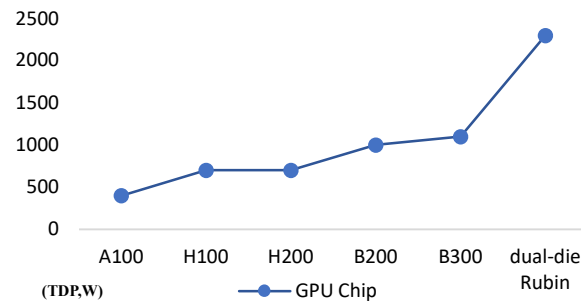
BUSINESS DESCRIPTION

Delta Electronics, Inc. (2308.TW), founded in 1971, is a global leader in power electronics and energy management solutions. The company operates across four core segments—Power and Components, Mobility, Automation, and Infrastructure—delivering mission-critical systems that enable high efficiency, reliability, and sustainability. Building on decades of expertise in high-efficiency power conversion and thermal management, Delta's products are widely adopted in fast-growing end markets, including AI servers, data centers, advanced networking equipment, and electric vehicles. In recent years, Delta has accelerated its expansion into HVDC and liquid-cooling technologies, establishing itself as a key enabler in next-generation AI data center infrastructure. Through close collaboration with global CSPs, the company has evolved from a traditional component supplier into a strategic partner within the AI computing ecosystem—anchoring its long-term growth trajectory and strengthening its role at the heart of the global electrification and digital transformation.

Rising Electricity Demand from AI and Data centers – A Direct Catalyst for Delta

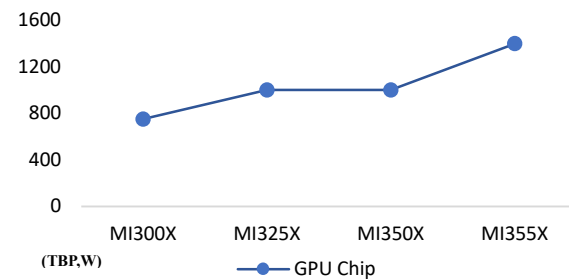
According to IEA projections, global electricity demand from data centers, AI, and cryptocurrencies operations is expected to reach 620–1,050 TWh by 2026, with the base case at just over 800 TWh—up from 460 TWh in 2022. This additional demand is roughly equivalent to the annual electricity consumption of Sweden. Such explosive growth highlights a structural shift in power intensity driven by AI adoption. We view this as a direct catalyst for high-efficiency power conversion and thermal management suppliers, positioning Delta Electronics as a key beneficiary within the data center supply chain.

Figure 3 : NVIDIA Data Center GPU Power Trend



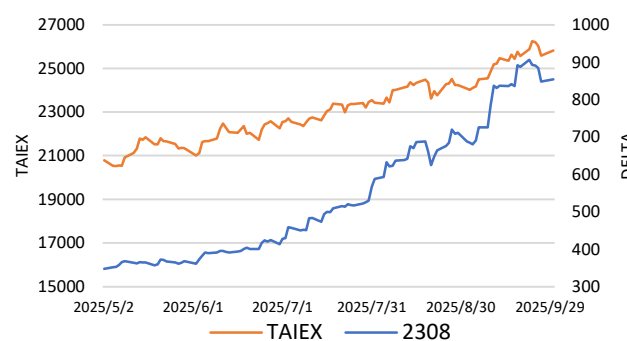
Source: Company Data, Team Estimates

Figure 4 : AMD Data Center GPU Power Trend



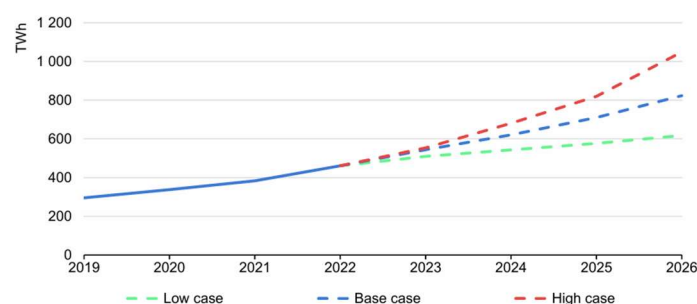
Source: Company Data

Figure 5 : Taiwan Stock Index vs. Delta Electronics Share Price Trend



Source: TEJ

Figure 6 : Global Electricity Demand from Data Centers, AI, and Cryptocurrencies, 2019-2026



Source: IEA

Hyperscaler Capex Acceleration

Capital expenditures by the four largest cloud service providers (Microsoft, Amazon, Alphabet, and Meta) are accelerating as they expand data center infrastructure to support large language model (LLM) training and AI workloads. According to our estimates, combined CSP capex is projected to rise from US\$359 billion in 2025 to US\$454 billion in 2026, reaching approximately US\$558 billion by 2027. Based on the geometric mean calculations, this represents a 2025–2027 CAGR of 34.5%. While growth in 2025 is expected to be exceptionally strong, we anticipate a moderation in 2026 before another step-up in 2027, indicating potential upside beyond our base-case scenario.

The importance of Battery Backup Units

As hyperscale data centers prioritize rack-space efficiency and power stability, BBUs are increasingly emerging as the default power architecture for new builds, steadily displacing traditional UPS systems and capturing a growing share of the power infrastructure market. Compared with legacy UPS designs, BBUs utilize a DC-to-DC architecture that delivers higher conversion efficiency, lower thermal losses, and superior energy density—key advantages for AI-driven, high-power density environments.

Importantly, Taiwanese suppliers — led by Delta Electronics — play a pivotal role in this structural transition. CSPs generally adopt two procurement models: (i) direct sourcing from BBU vendors to U.S. hyperscale data centers; and (ii) integrated solutions combining the power rack, BBU, and supercapacitor PLSS, supplied through power system integrators. This dual-channel supply model underscores Delta’s strategic flexibility as both a direct supplier and an integrated solution provider, allowing it to capture value across multiple layers of the ecosystem.

Delta has further strengthened its position through strategic partnerships with key ecosystem leaders such as AES-KY, Dynapack International Technology, and STL Technology. These collaborations enhance Delta’s manufacturing scalability and its ability to secure long-term supply commitments from major CSPs, reinforcing its role as a core enabler in AI-driven data center power infrastructure.

INDUSTRY OVERVIEW & COMPETITIVE POSITIONING

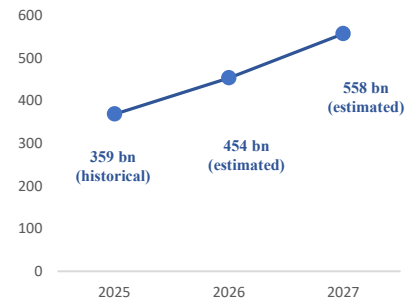
Powering the AI Era: PSU Drives Core Growth

Delta’s Power Supply Unit (PSU) business remains the cornerstone of its operations, contributing 33% of FY2024 revenue. According to IEK, PSU applications have expanded beyond traditional LED lighting and industrial automation to AI computing and hyperscale data centers, driven by rising compute density and accelerating electrification. Key growth catalysts include: (i) AI and cloud infrastructure expansion in North America and Asia; (ii) Industrial automation and IoT adoption, which heighten requirements for power stability; and (iii) Global decarbonization policies such as the EU Green Deal, accelerating demand for high-efficiency, low-loss PSU systems. As power efficiency becomes a strategic differentiator, Delta is well-positioned to capture outsized share gains and reinforce its leadership amid the next wave of digital electrification.

Enabling Reliability: Passive Components Power the Ecosystem

Delta’s Passive Components division, accounting for 11% of FY2024 revenue, is evolving from a support business into a structural growth engine. Demand is fueled by three megatrends: the proliferation of AI servers, EV powertrain expansion, and the IoT ecosystem’s scaling. These components—critical for current stabilization and energy conversion—enable higher system reliability across cloud and mobility platforms. Through this, Delta is strengthening its position not just as a component supplier but as a strategic enabler in the intelligent infrastructure value chain.

Figure 7 : Capital Expenditures of the Four Largest CSPs in U.S.



Source: Company Data, Team Estimates

Figure 8 : 19" 72kW 800V HVDC Power Shelf



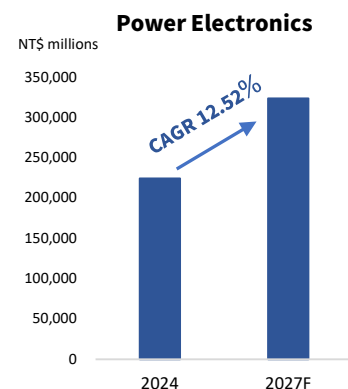
Source: Company Data

Figure 9 : 22kW Battery Backup System



Source: Company Data

Figure 10 : Power Electronics Segment Revenue and CAGR



Source: Company Data, Team Estimates



AI Surge Sparks Liquid Cooling Boom

The accelerating buildout of hyperscale and enterprise data centers—driven by surging AI and HPC workloads—is fueling robust demand for advanced cooling infrastructure. Delta has emerged as a key beneficiary, with its Liquid Cooling Systems (L2A, Cold-Plate, and rack-level solutions) gaining strong traction among leading CSPs and AI server manufacturers, including Microsoft and Meta. As GPU compute density rises, liquid cooling has become critical for enabling higher rack power density, improved energy efficiency, and lower PUE.

Delta’s early success in L2A deployments underscores its increasing relevance in the AI infrastructure value chain. The company is expanding into L2L solutions tailored for next-generation AI GPU racks (e.g., Rubin/Rubin Ultra), offering 1.5 MW CDU arrays with optimized power delivery. This move is expected to drive meaningful earnings growth in next-generation AI data centers. We forecast liquid cooling revenue to grow at a 41.5% CAGR from FY2025–2027, reaching approximately 9% of total sales by 2027. As AI-related capex continues to scale, we see liquid cooling as a structural growth driver for Delta’s Infrastructure business over the long-term.

Strategic Integration Advantage: Power and Infrastructure Synergy

Delta stands among the few industry players integrating deep expertise in Power Electronics (PSU, UPS, telecom power) with Infrastructure Solutions (modular data centers, liquid cooling, ESS, DeltaGrid). This synergy reduces integration risk—ensuring system compatibility and stability—while shortening project lead times for hyperscalers and cloud service providers through modular, pre-engineered solutions. Leveraging its experience across energy storage, grid management, and building automation, Delta can configure solutions for diverse applications, from hyperscale data centers to smart campuses, enhancing customer stickiness and preference. Assuming AI data center investments sustain a 20–25% CAGR through 2026, we expect Delta’s Infrastructure business to outperform industry growth, solidifying its position as a core pillar in the company’s long-term revenue mix.

Electrifying Mobility: Capturing the EV Powertrain Upside

Delta Electronics is leveraging policy tailwinds and technological advancement to strengthen its position in the EV supply chain. Delta is strategically positioned to benefit from the global electrification of transport. Its multi-function “x-in-1” power modules, paired with 800V high-voltage architecture and next-generation SiC/GaN semiconductors, deliver clear efficiency and cost advantages. Through collaborations with leading Tier-1 suppliers — including development mandates from major German automakers — Delta is poised to capture increasing EV powertrain upgrade orders in Europe over the medium term. As these projects scale, the Transportation Solutions segment is expected to evolve into a key earnings contributor, reinforcing Delta’s long-term growth trajectory in sustainable mobility.

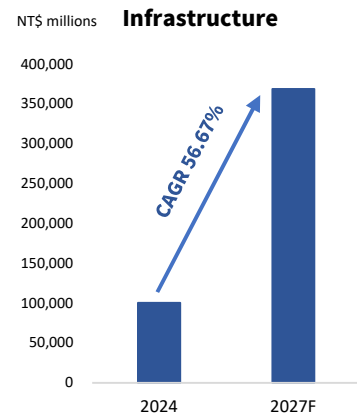
Smart Buildings, Bright Future: Automation Set to Scale

Global policy trends—ranging from stricter energy-efficiency standards to green building regulations—continue to drive demand for smart building solutions. Delta’s Automation and Smart Energy Management portfolios position it well to capture this growing market, even as near-term adoption remains gradual. By leveraging integrated design-to-commissioning workflows that shorten lead times approximately 20%—along with ongoing investments in integrated building control, energy optimization, and IoT-enabled systems, Delta is well-placed to translate long-term regulatory tailwinds into sustainable revenue growth, reinforcing Automation as a strategic growth pillar over the medium term.

Automation Department

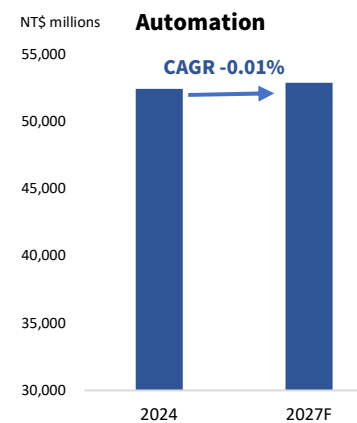
Global focus on energy efficiency and green building standards, together with rising demand for smart energy management supports a positive long-term outlook for the automation market. However, near-term demand remains soft, as project rollouts and technology upgrades progress gradually. For Delta, automation growth will likely materialize over the medium term, leveraging its integrated product portfolio and energy management expertise.

Figure 11 : Infrastructure Segment Revenue and CAGR



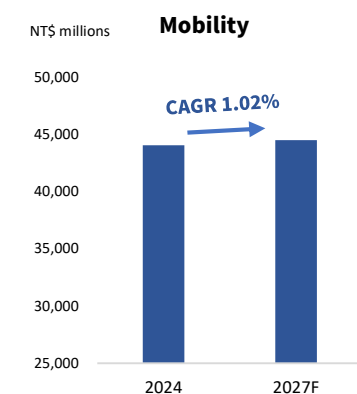
Source: Company Data, Team Estimates

Figure 12 : Automation Segment Revenue and CAGR



Source: Company Data, Team Estimates

Figure 13 : Mobility Segment Revenue and CAGR



Source: Company Data, Team Estimates



Core Product Competitive Advantages

- **UPS Systems** : Delta’s modularized DPH/DPS UPS series achieves efficiency levels of 96–97%, supported by advanced heat dissipation technologies. Compared to competitors such as Eaton and Vertiv, which follow a “high-reliability and high-stability” route, Delta positions itself as a flexible, high-efficiency solution well-suited for hyperscale and large-scale enterprise data centers. While brand recognition in top-tier U.S. markets remains a challenge, Delta’s performance metrics provide a solid basis for market share expansion.
- **Thermal Management** : Through its RowCool platform, Delta delivers room-level precision cooling systems enhanced by AI-based control, capable of maintaining a PUE <1.3. The company competes head-to-head with Schneider and Vertiv in liquid-cooling and air-cooled hybrid solutions. Delta’s strength lies in addressing diverse climate conditions, from high-humidity regions to liquid-cooling deployments required for advanced computing workloads.
- **Modular and Rapid Deployment** : Delta’s prefabricated modular data centers (20/40 ft) integrate UPS, cooling, and fire-prevention systems into a single turnkey solution, enabling rapid deployment and cost predictability. While Vertiv and Schneider rely heavily on system integrators, Delta’s vertically integrated model enhances cost competitiveness and speed-to-market, supporting its strategy to win in high-growth regions where deployment cycles are critical.
- **DCIM (InfraSuite)** : Delta’s InfraSuite DCIM provides comprehensive power and environmental monitoring, predictive maintenance, and risk management capabilities. Compared with Schneider’s StruxureWare and Vertiv’s Trellis, Delta emphasizes a more integrated, flexible, and scalable solution, tailored for high-density and AI-driven data centers. By combining energy efficiency, space utilization, and predictive analytics, Delta positions itself as a long-term partner for enterprises seeking intelligent and resilient infrastructure.

Regional Growth Outlook and Competitive Landscape

- Delta Electronics’ revenue in the Americas is expected to maintain strong momentum, driven by cloud and AI projects, with projected 2030 revenue of USD 630 million (CAGR approximately 10.6%). The region remains Delta’s core growth engine, supported by the continuous expansion of hyperscale data centers, and particularly by rising demand for liquid cooling and advanced power distribution systems.
- Asia-Pacific (ex-China) is the fastest-growing region, expected to reach USD 330 million by 2030 with a CAGR of approximately 18.7%. APAC represents the largest growth potential among emerging markets, with demand growth driven by hyperscale spillover effects and government-backed digital infrastructure programs, particularly in Southeast Asia, Singapore, and Taiwan. Delta’s localized manufacturing and supply-chain footprint in Thailand and India also strengthen its resilience and cost efficiency amid rising global trade frictions.
- In China, government-led digital infrastructure spending, cloud adoption, and AI deployment continue to support strong demand for Delta’s solutions. However, macroeconomic uncertainties and geopolitical risks (including export restrictions and competition from local suppliers) remain key constraints to valuation upside. Revenues are projected to reach USD 780 million by 2030, with a CAGR of approximately 11%.
- Europe shows steady growth with a CAGR of around 12.6%, though expansion is slower compared to other regions. Developed European markets face mature infrastructure bases and stricter regulatory hurdles, requiring compliance with EU safety and carbon emission standards. ESG initiatives and grid upgrades remain the key growth drivers. Delta’s expanding presence in energy-efficient building systems and renewable integration projects positions it to benefit from Europe’s carbon-neutrality transition.

Figure 14 : 20U L2A In-Rack CDU 24kW



Source: Company Data

Figure 15 : 4U L2L In-Rack CDU 135kW



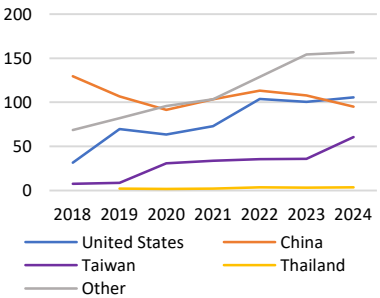
Source: Company Data

Figure 16 : 1.5MW CDU



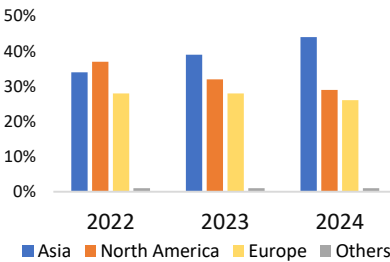
Source: Company Data

Figure 17 : Delta Electronics’ Regional Revenue



Source: Company Data, Team Estimates

Figure 18 : Delta Electronics’ Customers Base



Source: Company Data, Team Estimates

FINANCIAL ANALYSIS

SUSTAINED TOP-LINE GROWTH (2025F–27F)

Delta Electronics demonstrates robust financial performance with a sustainable growth trajectory supported by strong free cash flow generation and disciplined capital allocation. From 2025 to 2027, revenue is projected to expand at a CAGR of approximately 23%, driven primarily by surging demand in AI data centers, renewable energy solutions, and EV charging infrastructure. Gross margin is expected to improve by 200–300 basis points, reflecting a favorable shift in product mix toward high-value solutions such as high-margin AI power shelves, BBU, modular UPS, liquid-cooling systems, and high-voltage DC solutions. Operating leverage further supports margin expansion, leading to an estimated net profit CAGR of 20% over the forecast horizon.

Margin Expansion and Strengthening Profitability

Delta’s profitability is on a steady upward trajectory, driven by a higher proportion of high-margin products, operating leverage, and scale efficiencies. Gross margin is projected to rise from 32.35% in 2024 to 37% by 2027, while operating margin is expected to expand from 14.7% in 2025 to 17% in 2027. Net profit margin will improve from 8.6% in 2024 to 12.7% in 2027, demonstrating Delta’s ability to effectively translate revenue growth into sustainable earnings expansion. Compared with global peers, Delta is gradually narrowing its profitability gap through greater efficiency and disciplined cost management, further strengthening its long-term competitiveness.

Sustained R&D Commitment to Drive Long-Term Innovation

In recent years, Delta has consistently allocated around 9% of annual revenue to R&D, underscoring its commitment to innovation. During the 2Q25 earnings call, management emphasized that this ratio will be sustained at approximately 9.5% going forward. R&D expenses are projected to increase from NT\$41.5 billion in 2024 to NT\$74.9 billion by 2027, reflecting substantial investments in AI power systems, liquid cooling, and smart energy solutions. This continued commitment positions Delta to maintain technological leadership and strengthen its competitive moat against global peers such as Schneider, Eaton, and ABB.

Robust Balance Sheet Underpins Financial Flexibility

On the balance sheet, Delta’s liquidity position remains a key strength. Cash and equivalents are forecasted to increase from NT\$87.5 billion in 2023 to NT\$225.8 billion by 2027, representing approximately 27% of total assets. This robust cash generation highlights Delta’s ability to fund CAPEX without relying heavily on external financing. Net gearing is projected to remain below 15%, underscoring a conservative capital structure relative to peers. Shareholders’ equity will expand from NT\$122.5 billion in 2023 to NT\$259.2 billion in 2027, with retained earnings accounting for the bulk of the growth.

CAPEX Expansion Fully Backed by Strong Free Cash Flow

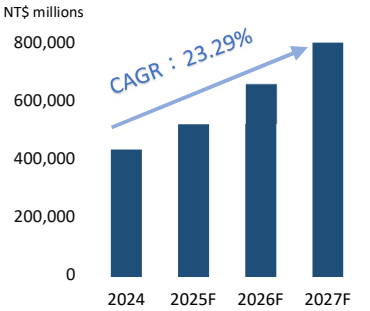
Capital expenditure is guided to increase significantly, from NT\$27.8 billion in 2023 to NT\$62.6 billion in 2027, primarily directed toward expanding data center infrastructure and electrification-related investments. Importantly, CAPEX is expected to be fully funded by operating cash flow, supported by improving working capital efficiency (declining DSO and normalized DSI), which enhances liquidity. As a result, free cash flow after dividends remains positive throughout the forecast period, underscoring Delta’s capacity to sustain dividend distributions while reinvesting in growth.

Resilient Cash Flow Supports Consistent Shareholder Returns

Cash flow analysis further reinforces Delta’s financial resilience. Operating cash flow is projected to double from NT\$71 billion in 2023 to NT\$135 billion in 2027, driven by both higher net income and improved working capital efficiency. Meanwhile, dividend payouts are expected to increase steadily to approximately NT\$49.3 billion in 2027, implying a payout ratio of roughly 50%, consistent with management’s historical policy of balancing shareholder returns with reinvestment.

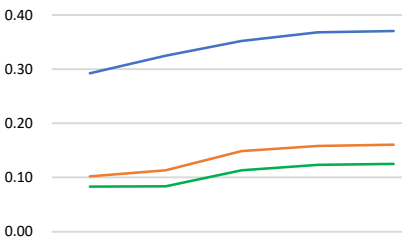
In summary, Delta Electronics exhibits a highly defensive financial profile with strong profitability, low leverage, and robust free cash flow. This allows the company to

Figure 19 : Delta Electronics’ Revenues & CAGR



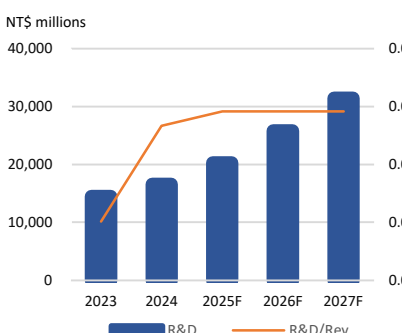
Source: Company Data, Team Estimates

Figure 20 : Delta Electronics’ Profitability Margins



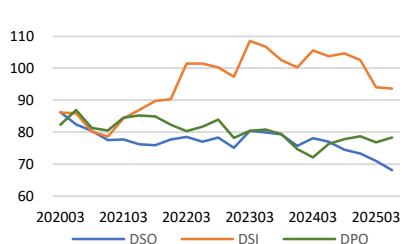
Source: Company Data, Team Estimates

Figure 21 : Delta Electronics’ R&D & R&D-to-Sales Ratio



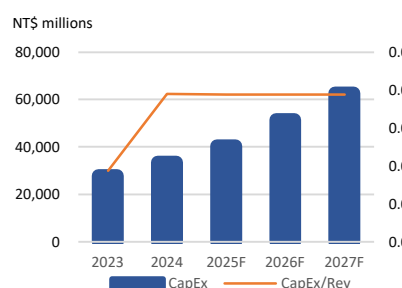
Source: Company Data, Team Estimates

Figure 22 : Delta Electronics’ Operation cycle



Source: Company Data, Team Estimates

Figure 23 : Delta Electronics’ CapEx & CapEx-to-Sales



Source: Company Data, Team Estimates

pursue expansion in high-growth areas such as data centers and renewable energy without compromising balance sheet integrity, positioning it favorably relative to regional and global peers.

DUPONT ANALYSIS

Delta Electronics’ return on equity (ROE) exhibited a clear trajectory of expansion from 2023 onward, reflecting both margin recovery and improved capital efficiency. ROE declined from 15.9% in 2022 to 14.5% in 2023, pressured by weaker operating margin (10.2%) and a lower asset turnover ratio (0.91x). However, we expect a significant rebound beginning 2024, with ROE rising from 13.6% in 2024 to 23.9% in 2027F. This recovery is underpinned by three key factors:

- **Operating Margin Expansion:** Operating margin is projected to expand from 10.2% in 2023 to 16.1% in 2027F, driven by product mix upgrades (liquid cooling, modular UPS, high-voltage DC solutions) and scale efficiencies across data center and infrastructure businesses.
- **Improving Asset Utilization:** Total asset turnover recovers from 0.85x in 2024 to 0.93x in 2027F, as higher revenue growth outpaces incremental asset base expansion. This indicates more effective use of fixed assets and working capital management.
- **Rising Financial Leverage:** The equity multiplier increases from 1.91x in 2024 to 2.05x in 2027F, suggesting a measured increase in leverage to fund CAPEX and support growth in strategic areas, while still maintaining a conservative capital structure relative to peers.

Tax burden and interest burden remain broadly stable across the forecast horizon, indicating no structural shifts in tax policy or financing costs. Taken together, these drivers reinforce a sustainable ROE expansion, positioning Delta to sustain long-term profitability and create resilient value for shareholders through its leadership in data centers and electrification initiatives.

VALUATION

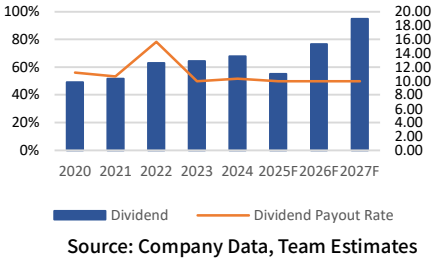
We issue a Buy rating on Delta Electronics with a 12-month target price of TWD 1,073, implying around 30x 2027F PE. Our valuation is based on a blended sum-of-the-parts PE methodology across Power, Infrastructure, Mobility, and Automation segments, with assigned multiples reflecting growth potential and peer benchmarks. We further cross-check our results with forward PE assumptions to ensure robustness.

SOTP P/E: Unlocking Segment Value

We value Delta Electronics using a sum-of-the-parts (SOTP) P/E multiple methodology, reflecting the company’s diversified business mix across four key segments: (i) Power Electronics, (ii) Infrastructure, (iii) Mobility, and (iv) Automation.

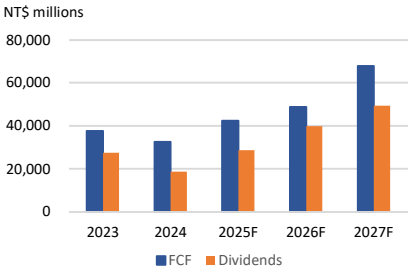
- **Power Electronics:** Delta’s traditional core, projected to grow revenues at a CAGR of 12.5% from 2024–2027. It remains a critical cash generator, with margin expansion supported by the increasing adoption of liquid cooling, modular UPS, and high-voltage DC solutions for AI-driven data centers.
- **Infrastructure:** Expected to be the fastest-growing division with a 2024–2027 CAGR of 56.7%. Growth is underpinned by structural demand for data centers, AI-driven power infrastructure, and advanced electrification projects, where Delta provides full-stack solutions including UPS and liquid cooling. We assign a premium multiple to this segment given its superior trajectory.
- **Mobility:** Covering integrated powertrains, charging solutions, and SiC/GaN platforms, Mobility stands to benefit from global EV adoption. However, its current contribution to revenues and profitability remains limited and is not a key valuation driver.
- **Automation:** Expected to contract slightly, with revenues declining at a CAGR of -1.1% from 2024 to 2027, reflecting slower momentum in industrial automation. Nevertheless, it provides stability within Delta’s portfolio and retains long-term potential in smart factories and energy-efficient solutions.

Figure 24 : Delta Electronics’ Dividend & Payout Rate



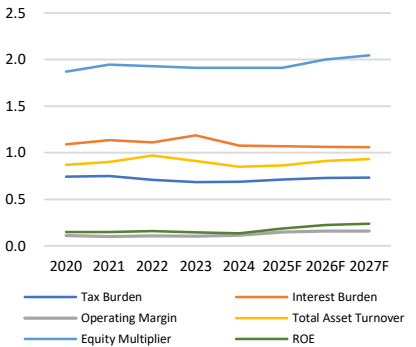
Source: Company Data, Team Estimates

Figure 25 : Delta Electronics’ FCF & Dividends Paid



Source: Company Data, Team Estimates

Figure 26 : Delta Electronics’ Dupont Analysis



Source: Company Data, Team Estimates

Figure 27 : Delta Electronics’ Segment Revenues

NTS million	2024	2025F	2026F	2027F	CAGR
Power Electronics	223,992	255,261	287,220	323,180	12.52%
Mobility	44,055	43,797	44,245	44,697	1.02%
Automation	52,403	53,848	53,231	52,622	-1.14%
Infrastructure	100,211	154,641	262,890	368,046	56.67%

Source: Company Data, Team Estimates

Figure 28 : Delta Electronics’ Profitability & EPS Forecast

	2024A	2025F	2026F	2027F
GPM(%)	32.43%	35.15%	36.76%	37.00%
NPM(%)	8.36%	11.30%	12.29%	12.50%
EPS (NT\$)	13.56	22.09	30.65	37.95
EPS Growth Rate	5.54%	62.86%	38.75%	23.82%

Source: Company Data, Team Estimates

P/E Multiple Cross-Check: Balancing Optimism and Prudence

For our P/E multiple valuation, we reference three benchmarks: (i) domestic peers’ average P/E, (ii) international peers’ average P/E, and (iii) Delta’s five-year historical average P/E, to derive a reasonable valuation range. These benchmarks serve as valuation floors, ensuring downside protection and reinforcing the robustness of our framework.

On the EPS forecast, we adopt industry data and conservative assumptions. Based on our model, Delta’s EPS is projected at NT\$22.09 in 2025, NT\$30.65 in 2026, and NT\$37.95 in 2027.

Regarding P/E multiple assumptions, we incorporate market sentiment and capital flow dynamics. Given the AI investment boom, we assign a 40x P/E multiple for 2025. To avoid excessive optimism, we lower the multiple to 35x in 2026 and normalize it to 30x in 2027, referencing peer levels and historical averages as valuation anchors.

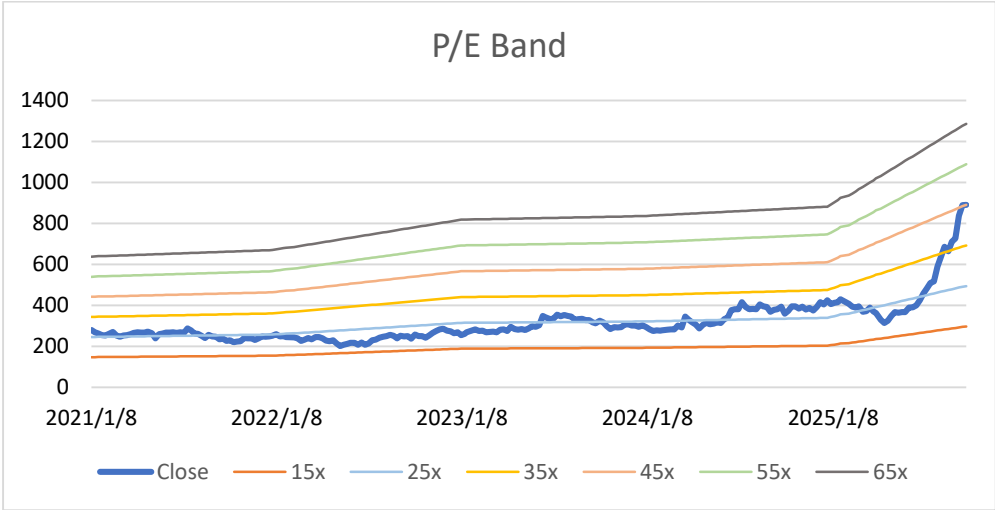


Figure 29 : Peer Comparison Table

Company Name	Ticker	Price (LC)	P/E(x)
		2025	2025
Power Electronics			
LITE-ON	2301.TW	172.5NTD	20.46
Chicony	2385.TW	138NTD	10.82
Chicony Power	6412.TW	99.8NTD	15.18
FSP Group	3015.TW	54NTD	32.63
Merry	2439.TW	101.5NTD	15.88
Schneider	SU.PA	237.9EUR	30.06
Eaton	ETN	374.28USD	32.63
ABB	ABBN.SW	57.14CHF	26.50
Siemens	SIE.DE	226.2EUR	19.20
Hitachi	6501.T	3930JPY	34.65
Honeywell	HON	210.5USD	23.72
Average.			23.79
Mobility			
SEEC	1503.TW	182NTD	31.24
TECO	1504.TW	95.1NTD	17.52
Eaton	ETN	374.28USD	32.63
ABB	ABBN.SW	57.14CHF	26.50
Average.			26.97
Automation			
Yaskawa	6506.T	3157JPY	13.69
OMRON	6645.T	4077JPY	44.80
Siemens	SIE.DE	226.2EUR	19.20
Schneider	SU.PA	237.9EUR	30.06
ABB	ABBN.SW	57.14CHF	26.50
Average.			26.85
Infrastructure			
Schneider	SU.PA	237.9EUR	30.06
Siemens	SIE.DE	226.2EUR	19.20
Hitachi	6501.T	3930JPY	34.65
Eaton	ETN	374.28USD	32.63
ABB	ABBN.SW	57.14CHF	26.50
Average.			28.61

Source: Company Data, Team Estimates

RISK

M1- The AI Gold Rush: A Bubble Waiting to Burst

Over 75% of early 2025 VC funding flowed into AI ventures—many lacking sustainable business models. If key hyperscale customers find their AI investments yielding subpar returns, investor sentiment toward the broader AI ecosystem could cool rapidly. As Delta’s recent growth has been largely driven by CSP demand, a deflation of AI optimism would weigh on near-term order visibility and valuation multiples.

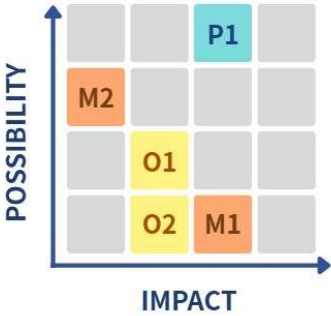
M2- Customized CSP Architectures and Product Iteration Risks

As hyperscale customers increasingly pursue differentiated AI server power and cooling architectures, Delta faces a potential risk of being excluded from critical high-value supply chains. The trend toward in-house development of customized power delivery and thermal management systems by leading CSPs to enhance efficiency and cost control could narrow Delta’s product mix and limit its visibility into upcoming customer orders. Moreover, with server rack power density and thermal loads continuing to rise, the rapid evolution of next-generation standards such as ORV3 and 800-volt high-voltage architectures is shortening product lifecycles. This accelerates the pace of technological obsolescence and intensifies competitive pressure. To mitigate these risks, Delta must sustain its technology leadership and system-integration capabilities to preserve product penetration, pricing power, and long-term customer stickiness across successive AI infrastructure upgrades.

P1- Tariff Storm Returns : U.S. Protectionism Reloaded

A potential revival of protectionist trade policies under a Trump administration could significantly alter export dynamics. The expansion of Section 232 tariffs on semiconductors and heavy industrial goods would disrupt Delta’s export pipeline, particularly in EV power, energy storage, and infrastructure cooling systems. Heightened trade barriers would amplify cost uncertainty, disrupt production schedules, and weaken U.S. revenue contribution.

Figure 30 : Risk Matrix



Source: Team Estimates



O1- The Decoupling Dilemma: Losing Ground in China

While the global “China + 1” strategy enables Delta to diversify production across India and Thailand, the same decoupling trend is eroding its China competitiveness. Supported by municipal subsidies and structural cost advantages, domestic players are rapidly scaling in AI server and data center infrastructure. As local customers increasingly shift toward homegrown suppliers, Delta’s market share and margins in China may face meaningful downside pressure.

O2- Running Hot: Innovation Pressure and Margin Compression

The pace of AI and power technology evolution remains relentless. Delta’s ongoing investment in next-generation power systems, thermal management, and silicon-based technologies such as SiC and GaN requires sustained R&D spending. While this enhances long-term competitiveness, it may also crowd out innovation in other business units. If growth in AI infrastructure demand slows, the resulting margin correction could be sharp. In addition, competition from players like Vertiv—with breakthroughs in microfluidic liquid cooling—poses risks to pricing power and profitability.

ENVIRONMENTAL, SOCIAL, GOVERNANCE

ENVIRONMENTAL

CARBON REDUCTION & SUSTAINABILITY GOALS

Starting in 2021, Delta verifies and discloses a complete greenhouse gas inventory, including Scopes 1&2&3, using the TCFD framework. Delta aims to achieve a 5% revenue growth in 2024 compared to 2023. Furthermore, Delta aims to reduce Scope 1&2 carbon emissions by 53.6% compared to the 2021 base year, achieving the net zero interim goal set by the SBTi for three consecutive years. This demonstrates Delta's continued progress in reducing carbon emissions and increasing revenue while pursuing growth, and striving to achieve net zero emissions by 2050.

Energy

In 2021, Delta joined RE100, aiming to use 100% renewable energy at all our global locations by 2030. In 2024, Delta's global operations achieved 84% renewable electricity, exceeding the original internal target of RE74. The sources and proportions of renewable electricity in total electricity consumption are: self-generated solar power (5%), renewable PPAs (14%), green power products (40%), and non-bundled renewable energy certificates (25%).

Social

Competitive Compensation

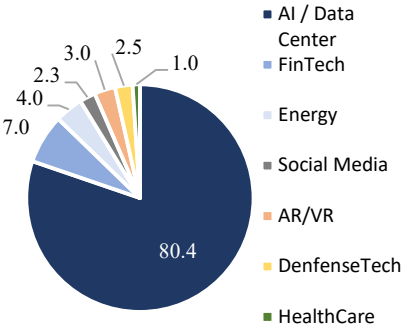
Delta Electronics offers competitive compensation to retain top talent. In 2024, the median salary for non-management employees at Delta Electronics was NT\$1.543 million per person, with an average salary of NT\$1.827 million, ranking sixth among its peers. Compared to the industry average of NT\$0.994 million, Delta Electronics' average salary is approximately double the electronic components industry average of NT\$0.994 million. This highlights the company's commitment to talent retention and its strong financial performance.

Gender Equality and Inclusion

Delta actively promotes gender equality as part of its diversity and inclusion strategy. In 2024, women accounted for 44.4% of total employees, with 22.3% in STEM (Science, Technology, Engineering, and Mathematics) roles. The proportion of women in the Delta Research Center’s R&D team rose to 21.4% in 2024, representing a 0.4% increase from the previous year. At the management level, the number of senior female executives increased by 0.6%, while the overall proportion of women in managerial positions rose by 0.2% year-on-year.

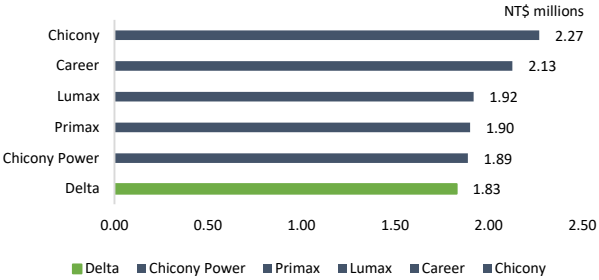
Introduced in 2022, the childcare allowance policy has proven effective in enhancing employee retention. The return-to-work rate following parental leave improved by 5.6% year-on-year in 2024.

Figure 31 : H1 2025 VC Mega-Deals (\$1B+) by Industry



Source: Crunchbase

Figure 32 : Average Non-Supervisor Salaries in Taiwan’s Electronic Components Industry



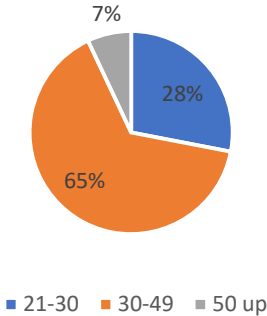
Source: TWSE MOPS

Figure 33 : ESG Comparison

Company	Morningstar
Chicony	19.3/40+ Low risk
Career	15.55/40+ Low risk
Primax	12.89/40+ Low risk
Chicony Power	22.13/40+ Medium risk
Delta	14.05/40+ Low risk

Source: Morningstar

Figure 34 : Employee Age Structure



Source: Company Data



Competitiveness Highlights

Delta Electronics has consistently allocated at least 8% of its total revenue to R&D in recent years, focusing on developing innovative energy-saving solutions. Delta plans to increase its R&D investment to 10% by 2024, a 1% increase from 2023. Delta Electronics' competitiveness is reflected in three key areas: (i) a young workforce, with 93.1% of employees under the age of 50; (ii) a continuously declining voluntary turnover rate over the past four years, with the overall average monthly turnover rate decreased from 1.5% in 2023 to 1.4% in 2024; and (iii) Emphasizing internationalization, with international employees accounting for 80.4% of the workforce across the Americas, EMEA, Asia Pacific, and Mainland China, fostering global talent collaboration and exchange.

Governance

Board of Directors

Delta Electronics' former Chairman, Hai Ying-jun, retired in 2024 and handed over the reins to Zheng Ping as Chairman and CEO. Although Hai Ying-jun stepped down as Chairman, he will remain a Director and continue to participate on the Board. Additionally, one independent director seat was replaced in this board election. The Board of Directors currently consists of twelve directors, including seven general directors, four of whom are employees of the company, and five independent directors. Four female directors hold seats, representing 33.3% of the total Board membership.

Executive Compensation

Delta Electronics' compensation structure includes salaries, pensions, bonuses, special allowances, and employee compensation. Senior executive compensation is highly correlated with company performance. Annually, executive compensation is determined based on company performance indicators, ensuring that executive compensation is meaningfully linked to the company's long-term performance and shareholder equity.

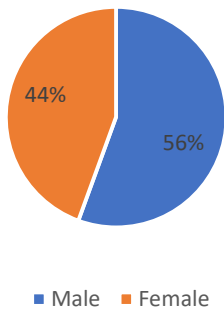
Shareholder Ownership

As of October 2025, foreign investors held 65.27%, domestic financial institutions hold 8.88%, and domestic individual investors hold 16.2%. As of June 2025, the company's shareholding remained highly dispersed, with the top three shareholders structure being Hong Kong-based Xiangda International Limited (10.3%), Jersey-based Yingda Holdings Limited (8.4%), and the New Labor Pension Fund (3.36%). We believe that no single shareholder exerts significant influence or control over Delta.

ESG summary

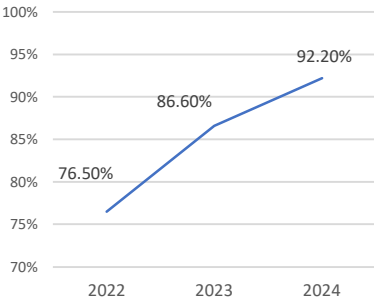
Delta Electronics is actively reducing carbon emissions, which helps lower carbon taxes and operating costs. Through energy-saving R&D, the company has further reduced energy consumption and demonstrated its commitment to sustainable development. Adhering to sustainable management and responsible governance, the company attracts top talent with competitive salaries and makes full use of its young workforce. At the same time, dispersed ownership also improves decision-making flexibility and efficiency, ensuring that the goals of executives and shareholders are aligned. Overall, Delta Electronics' strong ESG performance has improved its operations and reputation, laying a solid foundation for future growth.

Figure 35 : Workforce Gender



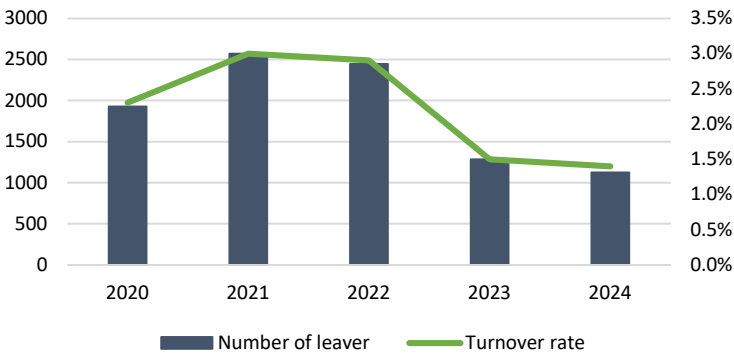
Source: Company Data

Figure 36 : Retention Rate for Childcare Stays



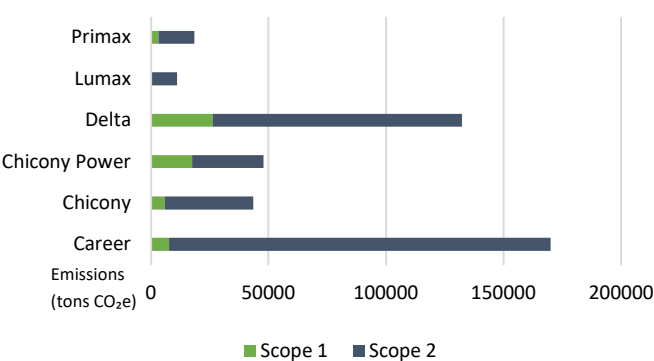
Source: Company Data

Figure 37 : Decline in Turnover Rate



Source: Company Data

Figure 38 : 2024 Peer Scope 1 & 2 CO₂ Emissions



Source: Company Data

APPENDIX 1 : BALANCE SHEET

Balance Sheet Delta Electronics											
In NTD Millions	2023		2024		2025F		2026F		2027F		
Cash and Cash Equivalents	\$87,456.00	0.19	\$117,459.00	0.22	\$146,458.61	0.25	\$183,075.21	0.26	\$225,766.92	0.27	
Accounts and Notes Receivable	\$79,380.00	0.17	\$89,921.00	0.17	\$101,276.43	0.17	\$129,136.59	0.18	\$157,242.32	0.19	
Inventories	\$76,227.00	0.17	\$83,856.00	0.16	\$89,961.65	0.15	\$111,861.67	0.16	\$135,696.89	0.16	
Other Current Assets	\$16,895.00	0.04	\$19,689.00	0.04	\$22,567.32	0.04	\$28,775.37	0.04	\$35,038.14	0.04	
Total Current Assets	\$259,958.00	0.57	\$310,925.00	0.58	\$360,264.01	0.61	\$452,848.84	0.64	\$553,744.27	0.65	
Long-term Investments	\$4,204.00	0.01	\$4,741.00	0.01	\$5,520.03	0.01	\$7,038.54	0.01	\$8,570.43	0.01	
Property, Plant and Equipment (PP&E)	\$98,002.00	0.21	\$115,710.00	0.22	\$128,037.87	0.22	\$148,839.69	0.21	\$174,168.88	0.21	
Goodwill and Intangible Assets	\$78,544.00	0.17	\$78,783.00	0.15	\$71,870.00	0.12	\$71,870.00	0.10	\$71,870.00	0.09	
Other Non-current Assets	\$17,038.00	0.04	\$21,739.00	0.04	\$23,894.02	0.04	\$30,467.04	0.04	\$37,097.99	0.04	
Total Non-current Assets	\$197,788.00	0.43	\$220,973.00	0.42	\$229,321.93	0.39	\$258,215.26	0.36	\$291,707.30	0.35	
Total Assets	\$457,746.00	1.00	\$531,898.00	1.00	\$589,585.93	1.00	\$711,064.11	1.00	\$845,451.57	1.00	
Short-term Borrowings	\$3,335.00	0.01	\$1,918.00	0.00	\$1,609.00	0.00	\$1,609.00	0.00	\$1,609.00	0.00	
Accounts and Notes Payable	\$53,539.00	0.12	\$69,223.00	0.13	\$70,033.86	0.12	\$87,082.71	0.12	\$105,638.09	0.12	
Other Current Liabilities	\$69,211.00	0.15	\$81,142.00	0.15	\$92,740.50	0.16	\$118,252.51	0.17	\$143,989.38	0.17	
Total Current Liabilities	\$126,085.00	0.28	\$152,283.00	0.29	\$164,383.36	0.28	\$206,944.22	0.29	\$251,236.48	0.30	
Long-term Debt	\$51,420.00	0.11	\$56,309.00	0.11	\$66,504.09	0.11	\$84,798.72	0.12	\$103,254.60	0.12	
Other Non-current Liabilities	\$37,506.00	0.08	\$43,740.00	0.08	\$50,117.22	0.09	\$63,903.98	0.09	\$77,812.26	0.09	
Non-current Liabilities	\$88,926.00	0.41	\$100,049.00	0.40	\$116,621.31	0.42	\$148,702.71	0.42	\$181,066.87	0.42	
Total Liabilities	\$215,011.00	0.47	\$252,332.00	0.47	\$281,004.67	0.48	\$355,646.93	0.50	\$432,303.34	0.51	
Common Stock	\$25,975.00	0.06	\$25,975.00	0.05	\$25,975.00	0.04	\$25,975.00	0.04	\$25,975.00	0.03	
Additional Paid-in Capital	\$54,637.00	0.12	\$55,097.00	0.10	\$55,104.00	0.09	\$55,104.00	0.08	\$55,104.00	0.07	
Retained Earnings	\$122,547.00	0.27	\$141,468.00	0.27	\$170,154.48	0.29	\$209,957.75	0.30	\$259,241.69	0.31	
Other Equity	(\$3,996.00) (0.01)		\$7,548.00	0.01	\$2,022.11	0.00	\$2,578.37	0.00	\$3,139.53	0.00	
Non-controlling Interests	\$43,572.00	0.10	\$49,478.00	0.09	\$55,325.67	0.09	\$61,802.07	0.09	\$69,688.01	0.08	
Total Equity	\$242,735.00	0.53	\$279,566.00	0.53	\$308,581.26	0.52	\$355,417.18	0.50	\$413,148.22	0.49	
Total Liabilities and Equity	\$457,746.00	1.00	\$531,898.00	1.00	\$589,585.93	1.00	\$711,064.11	1.00	\$845,451.57	1.00	
Balance	\$0.00		\$0.00		\$0.00		\$0.00		\$0.00		

Source: Team Estimates

APPENDIX 2 : INCOME STATEMENT

Comprehensive Income Delta Electronics					
In NTD Millions	2023	2024	2025F	2026F	2027F
Revenue	401,226.50	421,148.00	507,918.59	647,642.08	788,597.10
Cost of Goods Sold	(284,013.47)	(284,567.00)	(329,369.41)	(409,550.20)	(496,816.17)
Gross Profit	117,213.03	136,580.00	178,549.18	238,091.88	291,780.93
Selling Expenses	24,136.04	27,830.00	32,529.81	41,478.45	50,505.96
General and Administrative Expenses	15,951.95	19,390.00	21,832.09	32,382.10	39,429.85
R&D Expense	14,458.44	16,563.00	20,234.18	25,800.41	31,415.70
Expected Credit Loss	127.00	133.00	560.66	252.49	107.00
Operating Expenses	(54,673.43)	(63,916.00)	(75,156.75)	(99,913.45)	(121,458.51)
EBITDA	62,539.60	72,664.00	103,392.44	138,178.43	170,322.41
Depreciation Expense	(17,577.07)	(21,090.00)	(24,003.71)	(30,606.89)	(37,268.28)
Amortization Expense	(4,012.69)	(3,922.00)	(3,986.12)	(5,082.66)	(6,188.87)
EBIT	40,949.84	47,652.00	75,402.61	102,488.87	126,865.26
Non-operating Income (Expenses)	7,692.27	3,664.00	5,199.61	6,476.42	7,885.97
Income Before Income Tax	48,642.11	51,315.00	80,602.22	108,965.29	134,751.23
Income Tax Expense (Tax Rate 21%)	(9,761.74)	(10,925.00)	(17,381.87)	(22,882.71)	(28,297.76)
Consolidated Net Income	38,880.37	40,390.00	63,220.35	86,082.58	106,453.47
Net Income Attributable to Non-controlling Interests	(5,487.70)	(5,163.00)	(5,847.67)	(6,476.39)	(7,885.94)
Net Income	33,392.67	35,227.00	57,372.97	79,606.53	98,567.88
Weighted Average Shares Outstanding	2,597.54	2,597.54	2,597.54	2,597.54	2,597.54
EPS	12.85	13.56	22.09	30.65	37.95

Source: Team Estimates

Comprehensive Income Delta Electronics 2025					
In NTD Millions	2025Q1	2025Q2	2025Q3	2025Q4	2025F
Revenue	118,919	124,035	129,124	135,840	507,919
Cost of Goods Sold	(81,131)	(79,986)	(81,994)	(86,258)	(329,369)
Gross Profit	37,788	44,049	47,130	49,582	178,549
Selling Expenses	7,597	7,950	8,276	8,707	32,530
General and Administrative Expenses	4,975	5,375	5,596	5,887	21,832
R&D Expense	4,227	5,104	5,313	5,590	20,234
Expected Credit Loss	117	211	139	93	561
Operating Expenses	(16,916)	(18,640)	(19,325)	(20,276)	(75,157)
EBITDA	20,872	25,409	27,806	29,305	103,392
Depreciation Expense	(5,820)	(5,798)	(6,036)	(6,350)	(24,004)
Amortization Expense	(1,013)	(948)	(987)	(1,038)	(3,986)
EBIT	14,039	18,663	20,783	21,917	75,403
Non-operating Income (Expenses)	1,627	902	1,312	1,358	5,200
Income Before Income Tax	15,666	19,565	22,095	23,276	80,602
Income Tax Expense (Tax Rate 21%)	(3,620)	(4,234)	(4,640)	(4,888)	(17,382)
Consolidated Net Income	12,047	15,331	17,455	18,388	63,220
Net Income Attributable to Non-controlling Interests	(1,812)	(1,386)	(1,291)	(1,358)	(5,848)
Net Income	10,234	13,945	16,164	17,030	57,373
Weighted Average Shares Outstanding	2,598	2,598	2,598	2,598	2,598
EPS	3.94	5.37	6.22	6.56	22.09

Comprehensive Income Delta Electronics 2026					
In NTD Millions	2026Q1	2026Q2	2026Q3	2026Q4	2026F
Revenue	150,530	156,608	164,987	175,517	647,642
Cost of Goods Sold	(95,586)	(99,446)	(103,942)	(110,576)	(409,550)
Gross Profit	54,943	57,162	61,045	64,941	238,092
Selling Expenses	9,641	10,030	10,567	11,241	41,478
General and Administrative Expenses	7,526	7,830	8,249	8,776	32,382
R&D Expense	5,997	6,239	6,573	6,992	25,800
Expected Credit Loss	106	70	46	31	252
Operating Expenses	(23,269)	(24,169)	(25,435)	(27,040)	(99,913)
EBITDA	31,674	32,993	35,610	37,901	138,178
Depreciation Expense	(7,114)	(7,401)	(7,797)	(8,295)	(30,607)
Amortization Expense	(1,181)	(1,229)	(1,295)	(1,377)	(5,083)
EBIT	23,379	24,363	26,518	28,229	102,489
Non-operating Income (Expenses)	1,505	1,566	1,650	1,755	6,476
Income Before Income Tax	24,884	25,929	28,168	29,984	108,965
Income Tax Expense (Tax Rate 21%)	(5,226)	(5,445)	(5,915)	(6,297)	(22,883)
Consolidated Net Income	19,658	20,484	22,253	23,687	86,083
Net Income Attributable to Non-controlling Interests	(1,505)	(1,566)	(1,650)	(1,755)	(6,476)
Net Income	18,153	18,918	20,603	21,932	79,607
Weighted Average Shares Outstanding	2,598	2,598	2,598	2,598	2,598
EPS	6.99	7.28	7.93	8.44	30.65

Comprehensive Income Delta Electronics 2027					
In NTD Millions	2027Q1	2027Q2	2027Q3	2027Q4	2027F
Revenue	182,504	189,677	201,064	215,352	788,597
Cost of Goods Sold	(114,978)	(119,496)	(126,670)	(135,672)	(496,816)
Gross Profit	67,527	70,180	74,394	79,680	291,781
Selling Expenses	11,689	12,148	12,877	13,792	50,506
General and Administrative Expenses	9,125	9,484	10,053	10,768	39,430
R&D Expense	7,271	7,556	8,010	8,579	31,416
Expected Credit Loss	45	29	20	13	107
Operating Expenses	(28,129)	(29,217)	(30,960)	(33,152)	(121,459)
EBITDA	39,398	40,963	43,434	46,528	170,322
Depreciation Expense	(8,625)	(8,964)	(9,502)	(10,177)	(37,268)
Amortization Expense	(1,432)	(1,489)	(1,578)	(1,690)	(6,189)
EBIT	29,340	30,511	32,354	34,661	126,865
Non-operating Income (Expenses)	1,825	1,897	2,011	2,154	7,886
Income Before Income Tax	31,165	32,407	34,364	36,814	134,751
Income Tax Expense (Tax Rate 21%)	(6,545)	(6,806)	(7,217)	(7,731)	(28,298)
Consolidated Net Income	24,621	25,602	27,148	29,083	106,453
Net Income Attributable to Non-controlling Interests	(1,825)	(1,897)	(2,011)	(2,154)	(7,886)
Net Income	22,796	23,705	25,137	26,930	98,568
Weighted Average Shares Outstanding	2,598	2,598	2,598	2,598	2,598
EPS	8.78	9.13	9.68	10.37	37.95

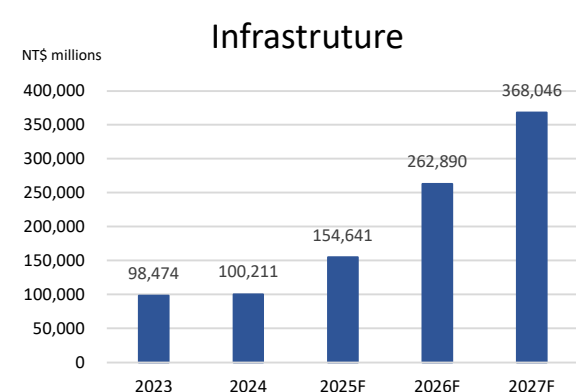
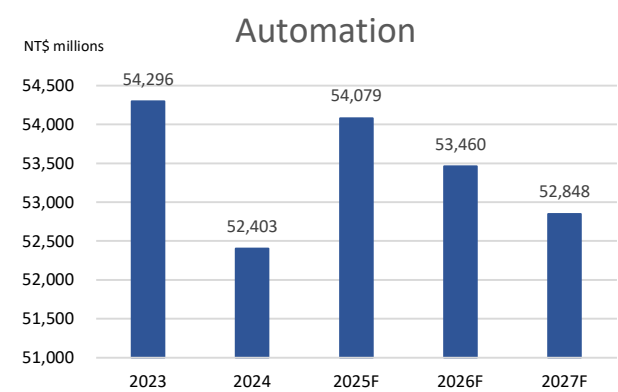
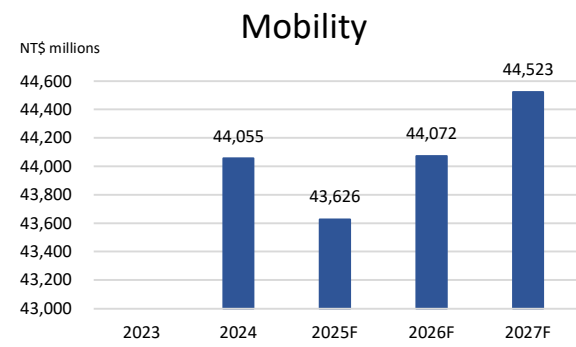
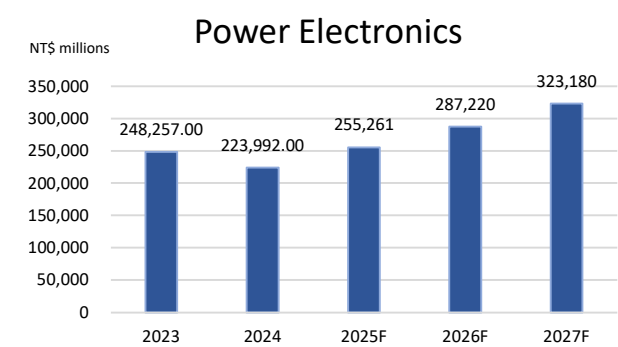
Source: Team Estimates

APPENDIX 3 : CASH FLOW STATEMENT

Cash Flow Statement Delta Electronics					
In NTD Millions	2023	2024	2025F	2026F	2027F
Net Income	48,642.11	51,315.63	80,602.22	108,965.29	134,751.23
Depreciation and Amortization	21,589.75	25,016.17	27,989.83	35,689.56	43,457.15
Decrease (Increase) in Accounts Receivable	8,146.89	(10,592.06)	(11,355.43)	(27,860.16)	(28,105.73)
Decrease (Increase) in Inventory	4,132.10	(7,630.00)	(6,105.65)	(21,900.02)	(23,835.22)
Increase (Decrease) in Accounts Payable	(9,813.25)	15,684.31	810.86	17,048.85	18,555.38
Increase (Decrease) in Other	(1,611.20)	(899.31)	(1,562.19)	(1,991.93)	(2,425.46)
Cash Flows from Operating Activities	71,086.41	72,894.74	90,379.64	109,951.59	142,397.36
Additions	(27,829.77)	(33,484.85)	(40,317.70)	(51,408.71)	(62,597.47)
Disposals	51.93	50.17	63.13	80.49	98.01
Increase (Decrease) in Other	(5,723.86)	(6,925.34)	(7,799.29)	(9,944.80)	(12,109.22)
Cash Flows from Investing Activities	(33,501.69)	(40,360.02)	(48,053.87)	(61,273.02)	(74,608.69)
Short-term Loan	874.11	(1,417.01)	(309.00)	0.00	0.00
Dividends Paid	(27,455.36)	(18,696.01)	(28,686.48)	(39,803.26)	(49,283.94)
Increase (Decrease) in Other	16,103.18	8,995.44	15,887.41	20,257.88	24,666.88
Cash Flows from Financing Activities	(10,478.06)	(11,117.58)	(13,108.07)	(19,545.38)	(24,617.06)
Exchange rate affected	(1,197.58)	8,585.98	(218.10)	7,483.41	(479.89)
Cash and Cash Equivalents at Beginning of Period	61,546.84	87,455.92	117,459.00	146,458.61	183,075.21
Net Increase (Decrease) in Cash and Cash Equivalents	25,909.08	30,003.11	28,999.61	36,616.60	42,691.71
Cash and Cash Equivalents at End of Period	87,455.92	117,459.03	146,458.61	183,075.21	225,766.92

Source: Team Estimates

APPENDIX 4 : SEGMENT REVENUE FORECASTS



Source: Team Estimates

APPENDIX 5 : REVENUE ESTIMATION FRAMEWORK

1. CAGR of revenue from AI-related Power Supply Units

We forecast the CAGR of revenue from AI-related PSUs by linking hyperscaler data center capex growth directly to Delta’s market share in its established leadership in global server PSUs : $CAGR = \text{U.S. Hyperscalers' Capex CAGR} \times \text{Delta's Share in PSU Market}$. Where : (i) U.S. Hyperscalers’ Capex CAGR = 34.5% (2025–2027E). (ii) Delta’s Share in PSU Market = 35% (estimated).

2. CAGR of revenue from 800V HVDC System (which includes BBU adoption)

The CAGR of revenue from Delta’s HVDC solutions (includes BBU) is derived from linking hyperscaler data center capex growth directly to the expected penetration of Delta’s 800V HVDC architecture into new data center builds : $CAGR = \text{U.S. Hyperscalers' Capex CAGR} \times \text{Delta's penetration in new data center}$. Where : (i) U.S. Hyperscalers’ Capex CAGR = 34.5% (2025–2027E). (ii)Delta’s Share in PSU Market = 30% (estimated). Hence, the CAGR of revenue from 800V HVDC System (which includes BBU adoption) is estimated as 10.35%.

3. CAGR of revenue from Non-AI PSU Applications

For traditional PSU applications (industrial equipment, automotive electronics, and consumer electronics), revenue is assumed as 5.5%, reflecting the steady growth of these end-market demand.

4. The Overall CAGR of revenue from PSU Applications and HVDC System

Taken together, we project Delta’s overall power supply segment to grow at 27.93% CAGR over the next three years.

5. CAGR of revenue from Non-AI Related Thermal Applications

For Delta’s thermal products that are not directly tied to AI server end-use (e.g., fans and cooling modules for industrial equipment and consumer electronics), we also assume a conservative growth rate of 5.5% CAGR, consistent with broader electronics demand trends.

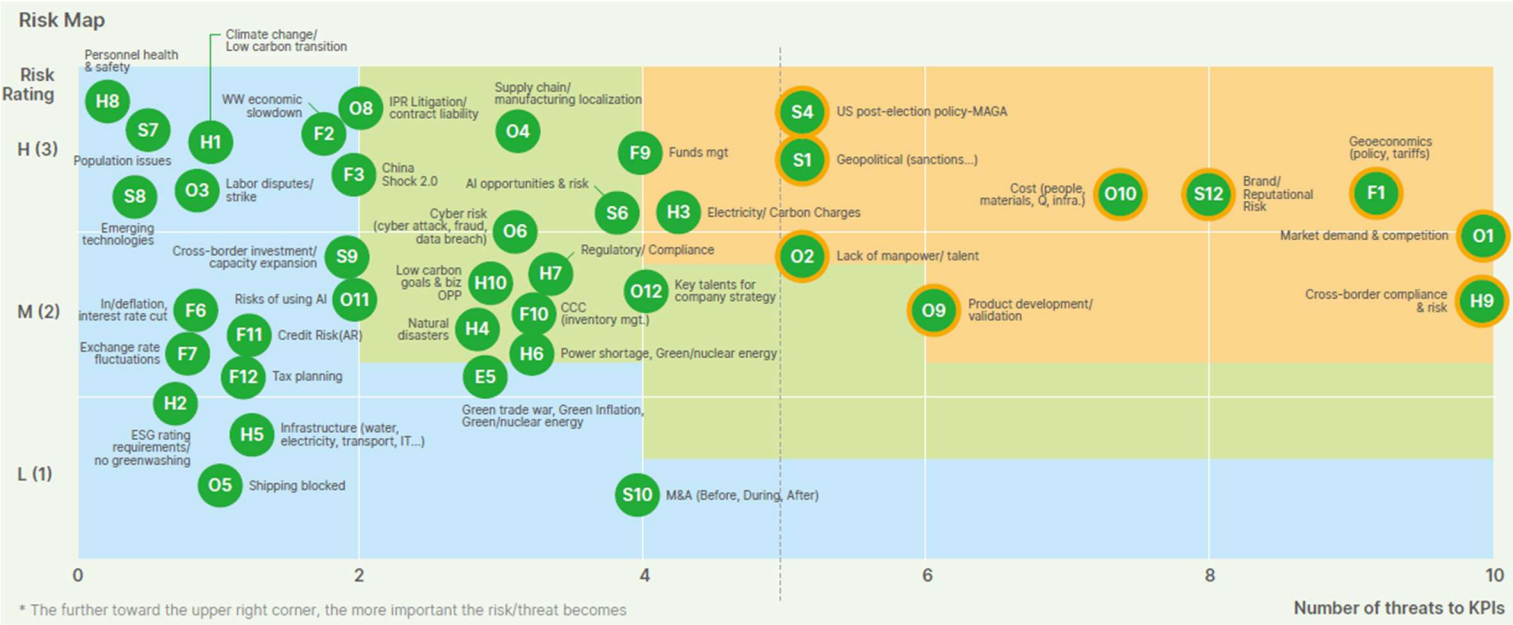
6. CAGR of revenue from Passive Components

Delta’s passive components and magnetics remain critical enablers of electronic systems across computing, automotive, and IoT. These products will continue to benefit from underlying growth in AI servers and renewable energy systems, though global competition and slower consumer electronics demand act as offsets. We therefore model Delta’s passive components business at a 7.5% CAGR over the forecast horizon.

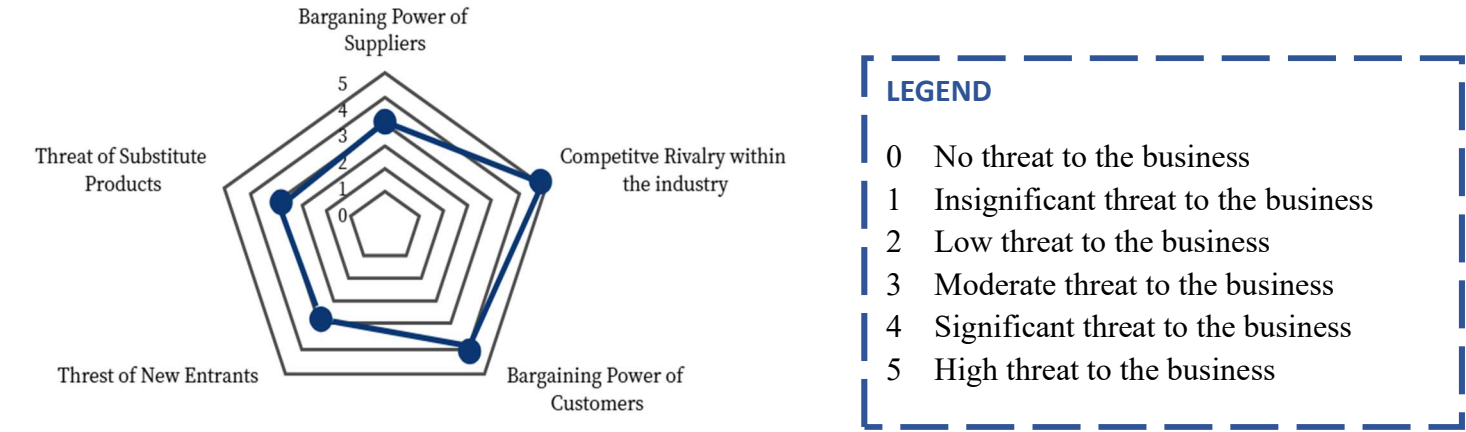
7. Aggregated Growth Outlook

First, taken together, we project Delta’s overall power supply segment (including AI-related PSUs, HVDC systems with BBU, and traditional PSUs) to grow at an estimated 27.93% CAGR over the next three years. Second, Delta’s non-AI related thermal segment (e.g., fans and cooling modules for industrial and consumer electronics) is expected to expand steadily at 5.5% CAGR. Third, Delta’s passive components and magnetics business should deliver a 7.5% CAGR over the forecast horizon. Considering the historical revenue contribution of each segment, we forecast Delta’s power supply business group, which is projected to grow at an average 12.5% CAGR between 2025 and 2027.

APPENDIX 6 : Risk Map



APPENDIX 7 : FIVE FORCE ANALYSIS



Source: Team Estimates

Bargaining Power of Suppliers-Moderate

The main raw materials, such as semiconductors, silicon wafers, and certain components, are controlled by a limited number of suppliers, which results in a certain degree of bargaining power. However, since power management IC technology is relatively mature and alternative suppliers are available, we assess the bargaining power of suppliers as moderate.

Threat of New Entrants-Low

Although the technological barriers are high—requiring integration of power, cooling, control, and monitoring platforms—the rapid growth of cloud service demand may still attract startups to enter with modular solutions. However, given the importance of brand trust and the lengthy certification cycles, we consider the threat of new entrants to be low.

Threat of Substitute Products-Low

Although alternative energy and new solutions, such as modular power supply and distributed energy management, are gradually developing, they are still difficult to fully replace existing UPS and power management solutions in core applications such as data centers. Therefore, we consider the threat of substitutes to be low.

Bargaining Power of Customers-Significant

Large customers such as hyperscalers (AWS, Google, Meta, etc.), telecom operators, and governments are the main purchasers, with massive order volumes and thus a certain degree of bargaining power. However, due to the technological complexity of the products and the high switching costs, buyers, while having some bargaining leverage, are unlikely to completely erode profit margins.

Competitive Rivalry within the industry-High

In the market, there are strong international competitors such as Vertiv, Schneider, Huawei, Eaton, and ABB. Coupled with the strong demand for UPS and data center solutions and the limited product differentiation, competition is intense. Delta Electronics must rely on technological innovation and integrated services to maintain its competitive edge.

APPENDIX 8 : PESTLE ANALYSIS

P

- Rising U.S.–China tech tensions and export restrictions may disrupt cross-border supply chains, requiring Delta to localize production and enhance compliance flexibility across markets.
- Global data center growth remains shaped by national energy-transition and incentive policies.
- China’s “East-to-West Computing” initiative and carbon neutrality targets, the EU’s ESG and data-sovereignty mandates, and U.S. green-tech subsidies collectively support Delta’s infrastructure expansion.

E

- AI chips’ rising power density accelerates adoption of HVDC (800V), centralized power, and liquid-cooling systems.
- Over 50% of new data centers by 2026 are expected to integrate liquid cooling, creating opportunities for Delta’s Sidecar, cold-plate, and L2L solutions.
- Increasing adoption of AI-enabled monitoring and predictive maintenance highlights the need for Delta to strengthen its DCIM and edge intelligence capabilities.

S

- Digital lifestyles, remote work, and streaming proliferation are amplifying demand for edge computing and local storage capacity.
- Heightened awareness of energy conservation and carbon reduction drives preference for low-PUE and green data centers.
- Delta’s modular, low-power, and rapid-deployment solutions address infrastructure gaps in Southeast Asia and India, aligning with regional sustainability goals and social development needs.

T

- Surging AI workloads and hyperscaler CAPEX are fueling a multi-year data center investment cycle.
- Delta forecasts its Infrastructure segment to expand at a 56.7% CAGR (2024–2027), underpinned by AI-related power and cooling demand.
- Hyperscaler CAPEX is projected to grow 34.5% CAGR, reinforcing structural tailwinds in Delta’s target markets.
- Nonetheless, sustained inflation, and high interest rates could delay project execution and moderate near-term spending in developed economies.

L

- Data center operations face diverse regional requirements for electrical safety, electromagnetic interference, and carbon efficiency (e.g., CE, RoHS, Tier III–IV).
- Delta’s CE-certified modular solutions and proven European compliance record demonstrate strong regulatory adaptability.
- Ongoing global scrutiny over data sovereignty and energy consumption may require Delta to further enhance transparency and reporting mechanisms.

E

- ESG mandates and carbon-neutrality goals make PUE (Power Usage Effectiveness) a key benchmark for data center investment decisions.
- Delta’s energy-efficient projects, such as Campana (Myanmar) with PUE < 1.43, underscore its leadership in sustainable infrastructure.
- Its containerized modular design reduces construction waste and lead time, offering lower environmental impact and higher appeal in Europe and emerging Asia.

APPENDIX 9 : SWOT ANALYSIS

Strengths (S)

- Comprehensive product line (UPS, liquid cooling, modular data centers, InfraSuite DCIM) with strong modular design and fast deployment.
- Self-developed DCIM integrates power, cooling, and energy data.
- Extensive global footprint across Southeast Asia, India, and China.
- Financially solid with approximately 9% R&D investment sustaining innovation.

Weaknesses (W)

- Weaker brand recognition in North America and Europe than Vertiv/Schneider.
- Delta’s precision liquid-cooling and AI-optimized thermal management solutions are evolving, with room to further enhance performance for high-density AI workloads.
- InfraSuite DCIM offers strong integration capabilities but still trails peers in advanced AI/ML-driven predictive analytics.
- Reliance on ODM model limits brand visibility in some markets.

Opportunities (O)

- AI-driven data center growth boosts demand for efficient power, liquid cooling, and modular solutions.
- ESG and carbon-neutral trends favor high-efficiency, green data centers.
- Rapid infrastructure expansion in emerging markets (SEA, India, Africa).
- Electrification and smart energy diversification create new growth avenues.

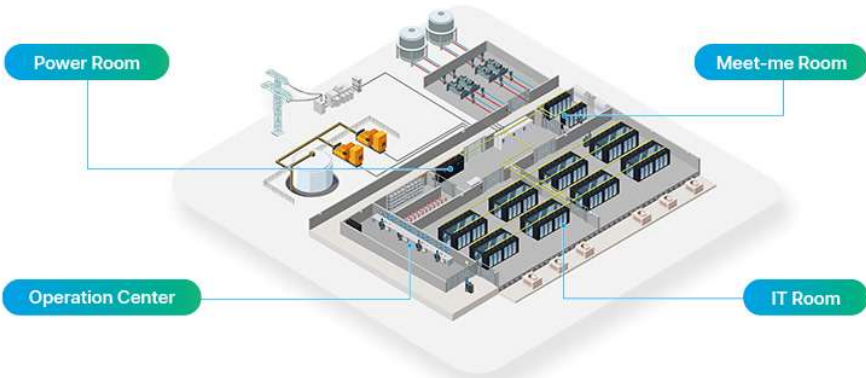
Threats (T)

- Intense competition from Schneider, Vertiv, ABB.
- Rapid tech evolution may erode differentiation if R&D slows.
- Geopolitical and trade uncertainties affect supply chains and China market share.

Summary

Delta Electronics stands out for its strong integration of power, cooling, and monitoring solutions, supported by a robust global footprint and disciplined R&D investment. While the company continues to enhance its liquid-cooling precision and AI-driven analytics capabilities, its diversified product portfolio and leadership in energy-efficient infrastructure position it favorably to capture long-term growth opportunities in the AI and electrification era.

APPENDIX 10 : Delta IntraSuite Data Center Infrastructure Solutions



- | | | | |
|---|--|--|--|
|  <ul style="list-style-type: none">• Generator• Switch Gear• MV/LV Transfer Switch• UPS• 12/48 VDC System | <ul style="list-style-type: none">• HVDC System• STS• PDU• Busway |  <ul style="list-style-type: none">• DCIM• Building Automation System• Surveillance• Video Wall• Lighting |  <ul style="list-style-type: none">• Rack |
|  <ul style="list-style-type: none">• AALC• CDU• Immersion Cooling• Cooling Tower• Chiller• Hot Aisle Containment System | <ul style="list-style-type: none">• Row Cool• Room Cool• Fan Wall• CoolDoor |  <ul style="list-style-type: none">• Switch• Data Center Interconnect Router | |

Source: Company Data



APPENDIX 11 : BOARD OF DIRECTORS

Title Name	Nationality/ Place of Incorporation	Gender Age	Date Elected	Term (Years)	Date First Elected	Shareholding when Elected		Current Shareholding (Note 1)		Spouse & Minor Shareholding (Note 1)		Shareholding by Nominee Arrangement (Note 1)		Executives, Directors or Supervisors Who are Spouses or within Two Degrees of Kinship			Note
						Shares	%	Shares	%	Shares	%	Shares	%	Title	Name	Relation	
Chairman Ping Cheng	TW	Male 60~69 years	May 30 2024	3	May 16 2001	55,640,093	2.14	55,640,093	2.14	0	0.00	0	0.00	Director	Bruce CH Cheng/ An Cheng	Father- Son/ Brothers	2
Vice- Chairman Mark Ko	TW	Male 70~79 years	May 30 2024	3	May 16 2001	807,630	0.03	807,630	0.03	0	0.00	0	0.00	-	-	-	-
Director Bruce CH Cheng	TW	Male 80~89 years	May 30 2024	3	August 20 1975	81,878,039	3.15	81,878,039	3.15	24,097,633	0.93	0	0.00	Director	Ping Cheng, An Cheng	Father and Sons	-
Director Yancey Hai	TW / US	Male 70~79 years	May 30 2024	3	May 6, 2003	984,067	0.04	824,067	0.03	0	0.00	0	0.00	-	-	-	-
Director Simon Chang	TW	Male 60~69 years	May 30 2024	3	May 18 2006	903,811	0.03	903,811	0.03	517	0.00	0	0.00	-	-	-	-
Director Victor Cheng	TW	Male 60~69 years	May 30 2024	3	June 11 2018	50,344,764	1.94	50,344,764	1.94	1,023,482	0.04	0	0.00	Director	Bruce CH Cheng/ Ping Cheng	Father- Son/ Brothers	-
Director Shan-Shan Guo	TW	Female 50~59 years	May 30 2024	3	June 14 2022	20,360	0.00	20,360	0.00	0	0.00	0	0.00	-	-	-	-
Independent Director Ji-Ren Lee	TW	Male 60~69 years	July 19 2021	3	June 8 2016	0	0.00	0	0.00	0	0.00	0	0.00	-	-	-	3
Independent Director Audrey Tseng	TW	Female 60~69 years	May 30 2024	3	June 14 2022	0	0.00	0	0.00	0	0.00	0	0.00	-	-	-	-
Independent Director Shyue-Ching Lu	TW	Male 70~79 years	May 30 2024	3	July 19 2021	0	0.00	0	0.00	0	0.00	0	0.00	-	-	-	-
Independent Director Jack J.T. Huang	TW	Male 70~79 years	May 30 2024	3	July 19 2021	0	0.00	0	0.00	0	0.00	0	0.00	-	-	-	-
Independent Director Rose Tsou	TW	Female 50~59 years	May 30 2024	3	July 19 2021	0	0.00	0	0.00	0	0.00	0	0.00	-	-	-	-
Independent Director Doris Hsu	TW	Female 60~69 years	May 30 2024	3	May 30 2024	0	0.00	0	0.00	0	0.00	0	0.00	-	-	-	-

Source: Company Data